EQUITY RESEARCH / FINANCIAL INSTITUTIONS

Grupo Financiero BG

Panama | Banking & Asset Management

+20.9%

AUM Growth

Year-over-year

27.2%

Capital Ratio

Well above mi

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Date: April 22, 2026

Classification: Confidential | For Institutional Use Only

01 / INVESTMENT THESIS

Why GFBG stands out

A bank becoming an asset manager

AUM grew +37% in two years and is nearly the size of the entire balance sheet. This shift brings higher margins, less credit risk, and more predictable revenue — a business model closer to a wealth manager than a traditional bank.

Profitability that holds — year after year

ROE above 20% for three straight years. A cost-to-income ratio of 28.1% is among the best in the region. This is not a one-time result — it is structural.

Strong capital with room to grow

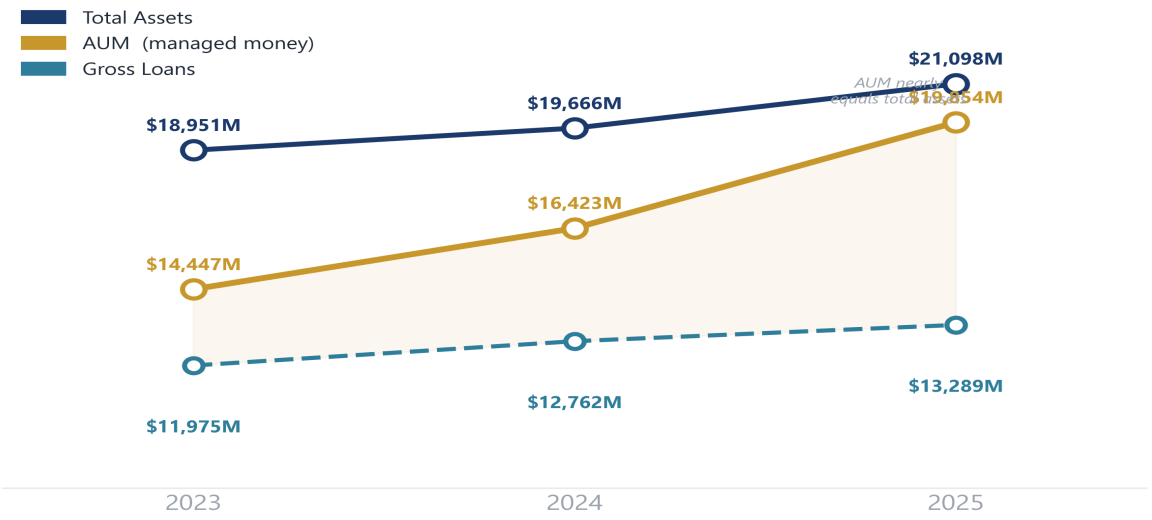
Capital ratio of 27.2% — well above what regulators require. The bank can grow, acquire, or return capital to shareholders without strain.

02 / KEY CHARTS

The story in numbers

Managed money (AUM) is catching up to the bank's total size

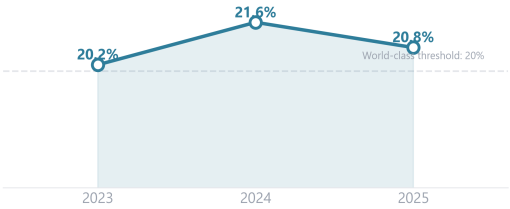
AUM grew 3x faster than loans — the business model is shifting toward asset management



Managed money (AUM) is growing 3x faster than loans. By 2025, AUM nearly equals the bank's total assets — a structural shift in the business.

The bank earns over 20% return for its shareholders — every year

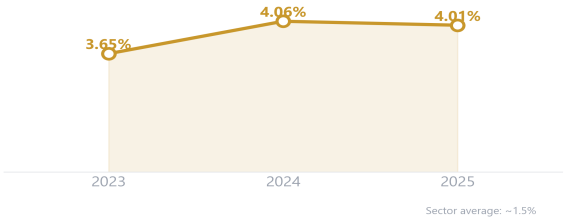
ROE above 20% is considered excellent. Most banks average 10-12%.



ROE above 20% — held for three consecutive years.

For every 100 in assets, the bank generates 4 in profit

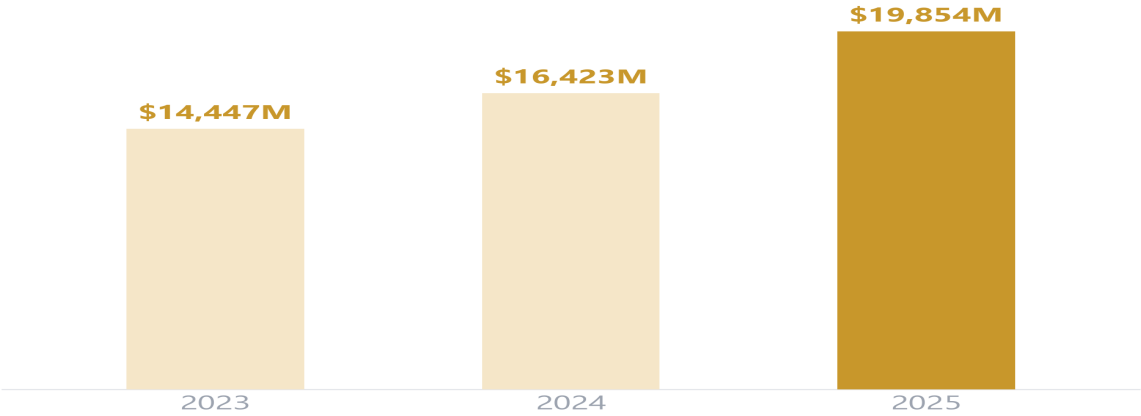
ROA above 1.5% is exceptional. This bank earns nearly 3x the sector average.



ROA at 4% — nearly 3x the regional banking average.

Managed assets are growing very fast

AUM grew +37% in two years — this is the bank's fastest-growing segment



AUM grew from $14.4B to $19.9B in two years — the fastest-growing segment in the business.

03 / KEY INSIGHTS

What the numbers tell us

■ AUM is approaching the size of the whole bank

At $19.9B, managed assets are now 94% of total assets. In 2023 that number was 76%. The shift is fast and consistent.

■ ROE above 20% — three years in a row

Most banks globally earn 10-12% ROE. GFBG earns double. That gap reflects a better business mix and tighter cost control.

■ The bank is lending less relative to deposits

Loan-to-deposit ratio fell from 95% to 91%. Less reliance on credit means lower risk and more room for fee income.

■ Capital buffer is very strong

At 27.2%, the capital ratio gives the bank flexibility to invest, expand, or absorb shocks — without needing to raise money from investors.

04 / VALUATION

Is the stock cheap or expensive?

Based on publicly available data and regional comparables, GFBG trades at a modest premium to peers. Given its superior ROE and AUM growth, that premium is justified.

Metric	GFBG (Est.)	Regional Peers	Read
P/B (Price / Book)	**~2.2x**	1.0x – 1.8x	Premium — justified by ROE
P/E (Price / Earnings)	**~12x**	9x – 14x	Fairly valued to slight premium
ROE	**20.8%**	8% – 14%	Best-in-class
AUM Growth (YoY)	**+20.9%**	+5% – +12%	Significantly above peers

A P/B of ~2.2x is above the regional average, but GFBG's ROE is also nearly double the peer median. High-ROE banks historically command a premium. At current levels, the valuation reflects quality — not speculation.

05 / CATALYSTS

What could drive the stock higher

+ AUM growth accelerates fee income

Each dollar of new AUM generates management fees with no credit risk attached. As AUM approaches and exceeds the loan book, fee income becomes the dominant revenue driver.

+ Business mix shift improves margins

Moving from interest income (spread-dependent) to fee income (volume-dependent) structurally improves net margins and reduces sensitivity to interest rate cycles.

+ Expansion of wealth management services

GFBG has the client base and brand to deepen penetration in private banking and family office services — both high-margin segments with strong regional demand.

+ Capital deployment: M&A; or regional expansion

With a 27.2% capital ratio, the bank has dry powder. A strategic acquisition or geographic expansion into neighboring markets would accelerate growth without dilution.

06 / RISKS

What could go wrong

! NPL coverage is declining (152.6% -> 124.3%)

The bank is setting aside less money to cover potential loan losses. Not a problem today, but worth monitoring. A drop below 100% would be a red flag.

! AUM growth may slow

Growing AUM at +20.9% per year is hard to sustain indefinitely. If growth slows significantly, fee revenue projections come down and the stock re-rates.

! Panama concentration risk

Almost all revenue comes from Panama. A local recession, political instability, or regulatory change would hit the bank directly with no geographic buffer.

07 / CONCLUSION

Our view

OUTPERFORM

GFBG is one of the most profitable banks in the region — and it is actively transforming into something more valuable: an asset management platform with a banking license. With ROE above 20%, AUM growing at nearly 21% per year, and a capital ratio that provides real strategic flexibility, the risk/reward profile is compelling. We see the primary drivers over a 2-3 year horizon

as continued AUM expansion, margin improvement from the fee/spread revenue mix shift, and disciplined capital deployment. Maintain OUTPERFORM.

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Grupo Financiero BG | Equity Research | April 22, 2026
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